AD-HOC OPINION · SEMICONDUCTORS

Astera Labs: a leader in AI connectivity, priced for flawless execution

22 October 2026 · Syz Research

Prices are as of the close on 20 October 2026.

Astera Labs

ALAB US · NASDAQ · USD

The chips that let AI accelerators, processors and memory talk to each other inside the rack

Share price	Market value	Q2 2026 revenue	Q3 2026 guidance
USD 284.80	**c. USD 53bn**	**USD 392m**	**USD 540–560m**
-43% from the June 2026 high	c. 185m diluted shares	+104% year on year	+40% q/q at the midpoint

1. What the company does

Astera Labs, listed on Nasdaq since March 2024, designs semiconductors that move data inside AI and cloud servers. It is fabless: it designs the chips and outsources production. As AI clusters grow, data has to travel faster and further between GPUs, custom accelerators, processors, memory and network cards, and signals degrade along the way. Astera sells the parts that keep these links fast and reliable.

It has four product families. **Aries** retimers restore PCIe and CXL signals over longer distances. **Taurus** modules power active electrical cables for Ethernet. **Leo** controllers add memory over CXL. **Scorpio** fabric switches connect processors to accelerators (P-Series) and, more importantly, accelerators to each other in a rack (X-Series). A common software layer, COSMOS, lets customers monitor these links across their fleets. Customers are mainly hyperscalers and AI system makers.

2. Why it could do well

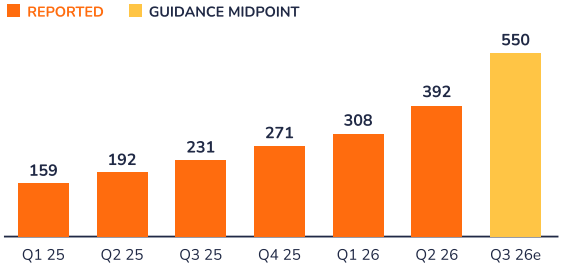
- **Growth is accelerating.** Revenue reached USD 852.5m in 2025 (+115%). The first half of 2026 alone brought USD 701m, and the Q3 guidance implies another 40% sequential jump.
- **Scorpio is taking over.** Management expects the switch family to become the largest in Q3, a quarter earlier than planned. Scorpio X entered volume production in Q2, more than ten customers are engaged and additional customers are expected to ship by year end.
- **Each new standard raises the content per rack.** PCIe 6 products made up more than half of Q2 revenue. Faster links lose more signal, which calls for more retimers and switches.
- **Open standards for scale-up.** Hyperscalers building their own AI accelerators need an alternative to proprietary links. Astera supports PCIe and UALink fabrics, an opportunity management sizes at about USD 10bn.

3. What sets it apart

- **Pure exposure.** Almost all revenue comes from AI and cloud infrastructure, with an early lead on PCIe 6.
- **High profitability.** In Q2 the gross margin was 73.7% and the operating margin 39.1% (non-GAAP); 73.3% and 22.7% on a GAAP basis.
- **Embedded software.** COSMOS sits inside customers' fleet management, which makes Astera harder to replace once designed in.
- **Solid balance sheet.** Cash and marketable securities of USD 1.25bn at end June; operating cash flow of USD 162m in the first half.

Chart 1 · ALAB: quarterly revenue

USD m, reported; Q3 2026 at the midpoint of company guidance



Source: Syz Research, Astera Labs results releases

4. Is the share cheap?

Not on usual measures. At USD 284.80 and about 185m diluted shares, the market value is close to USD 53bn, or about USD 51bn net of cash. Annualising the midpoint of the Q3 guidance gives revenue of USD 2.2bn, so the share trades at about 23 times that run rate. On the same basis, adjusted earnings per share would be about USD 4.74, a multiple of about 60. Adjusted figures exclude share-based pay, which is large: on GAAP guidance (USD 0.87 to 0.92 per share) the multiple rises to about 80.

The 43% fall from the June high of USD 499.48 has taken out much of the excess, helped by a sharp rise in earnings. Still, the price assumes several more years of strong growth. If growth holds at the guided pace, the multiples would fall quickly; a single disappointing quarter could weigh heavily on the share.

5. Main risks

- **Customer concentration.** A very small number of hyperscalers account for most of revenue, and the Scorpio X ramp rests mainly on one lead customer until others ship.
- **Competition.** The company names Broadcom, Marvell, Credo, Microchip, Montage, Parade and Rambus as competitors, most of them larger. Nvidia's own NVLink ecosystem could limit the reach of open standards.
- **AI spending cycle.** Revenue depends on data centre budgets; a pause or an inventory correction would hit a high-growth supplier first.
- **Lower margins.** The gross margin is guided at about 72% in Q3, down from 76.4% in Q1, as switches and hardware modules gain weight in the mix.
- **Volatility.** The share moved between about USD 98 and USD 499 over the past year, and insiders have been regular sellers.

6. What to watch next

- **Q3 results**, expected in early November (press reports point to 3 November): delivery against the USD 540–560m guidance and the tone of the Q4 outlook.
- **Scorpio X customers** shipping in volume by year end, beyond the lead customer.
- **Gross margin** as the mix shifts towards switches.
- **UALink and PCIe 6/7 roadmaps** of hyperscalers' in-house accelerators.

Conclusion

Astera Labs is one of the purest listed ways to own the connectivity layer of AI data centres. Growth, margins and cash generation are all strong, and the Scorpio switches could make the company a much larger business than its retimer origins suggest.

The valuation leaves little room for error, and the customer base is narrow.

Sources. Astera Labs results releases for Q4 2025, Q1 2026 (5 May 2026) and Q2 2026 (4 August 2026); Q2 2026 earnings call; Form 10-K 2025; Form 10-Q for the quarter ended 30 June 2026; Syz Research, Bloomberg; press reports. Market value, net cash, annualised revenue and earnings multiples are a Syz calculation based on the 20 October 2026 close and company guidance. Chart 1 Q1 and Q3 2025 revenue derived from reported quarterly and annual figures.

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